

Impeded Recovery

The COVID-19 pandemic has claimed over 3 million lives and in 2020, it is estimated to have cost USD 28 trillion in economic losses. The vaccine rollout has faced some challenges and a third wave of the COVID-19 pandemic has resulted in lockdowns in some countries. In Kenya, economic activity may be affected by delays in the vaccine rollout as India's ban on exports (to cater to their domestic demand) has led to a shortage of vaccines.

- **Economic activity:** In 1Q21, economic growth is estimated to have picked up as business activity resumed. Increased growth is likely to have been recorded in the agriculture, construction, real estate, finance and insurance, and the wholesale and retail trade sectors. Growth in 2Q21 is likely to be negatively affected by the lockdown measures that were put in place on the 26th of March to combat a surge in coronavirus infections. Delayed vaccine distribution, new lockdowns, and unsupportive fiscal policy dampen the country's growth prospects.

- **Accommodative monetary policy:** At the onset of the COVID-19 pandemic, CBK took measures to provide liquidity to the banking sector, mitigate the adverse impact of the pandemic on borrowers, and encourage the use of mobile money. The banking sector remains stable with strong liquidity and capital adequacy ratios but the high NPL ratio remains a source of concern. CBK maintained an accommodative monetary policy stance in 1Q21 as it sought to support growth. We expect the Bank to maintain the CBR at 7.0% as rising inflation and pressure on the shilling may preclude a rate cut.

- **Fiscal risks deficit widens:** In the first half of FY2020/21, the budget deficit widened to KES 351.2 billion (3.6% of GDP) from KES 287.7 billion (2.8% of GDP) as revenue was 12.9% lower than the previous year while expenditure declined by only 0.5%.

- **Equity market:** In 2Q21, we expect increased investor focus on Safaricom and banking stocks. Safaricom will release its FY21 numbers and this should lead to an increase in local and foreign investor interest while activity in Banking stocks is likely to be driven by their 1Q21 numbers.

April 20th, 2021

Sovereign Credit Rating:

Moody's: B2 (negative)

Fitch: B+ (negative)

S&P: B+ (negative)

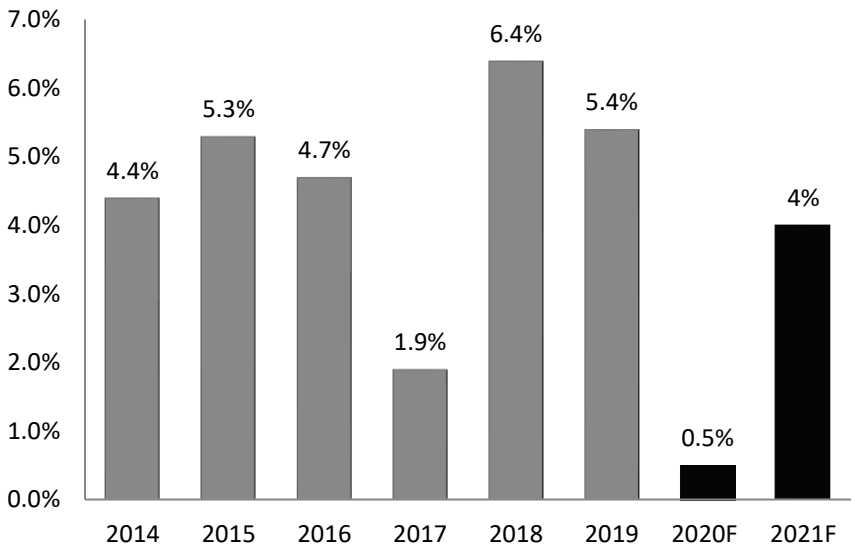
GDP Growth (3Q20):	-1.1%
March Inflation:	5.90%
Interbank rate:	5.41%
C.B.R:	7.00%

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Economic Performance

- **Economic activity:** During the first three quarters of 2020, the Kenyan economy contracted by 0.6% due to measures taken by the government to curb the spread of the COVID-19 pandemic. There was a shutdown in some sectors such as tourism and hospitality and the education sector, while activity in the manufacturing, transport and trade sectors greatly declined. The IMF estimates that the Kenyan economy contracted by 0.1% in 2020.

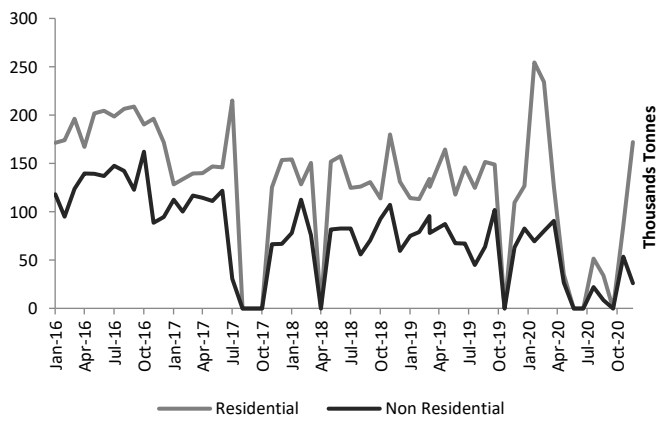
Graph 1: GDP Growth



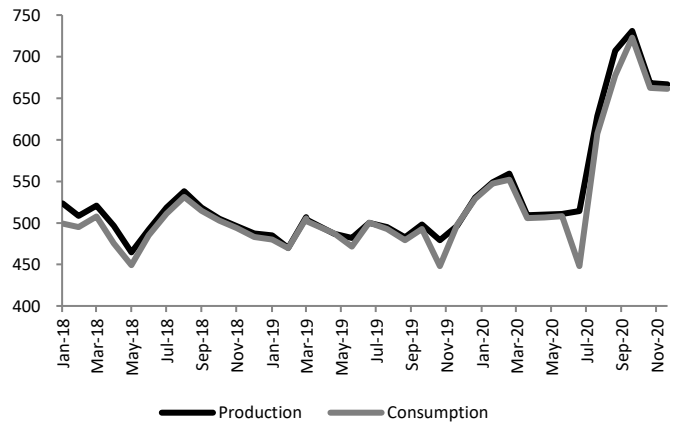
Source: KNBS

- **Increased growth in 1Q21:** In 1Q21, economic growth is estimated to have picked up as business activity resumed. Increased growth is likely to have been recorded in the agriculture, construction, real estate, finance and insurance, and the wholesale and retail trade sectors. Leading economic indicators seem to indicate that in 1Q21, the economy was on its way to a recovery.

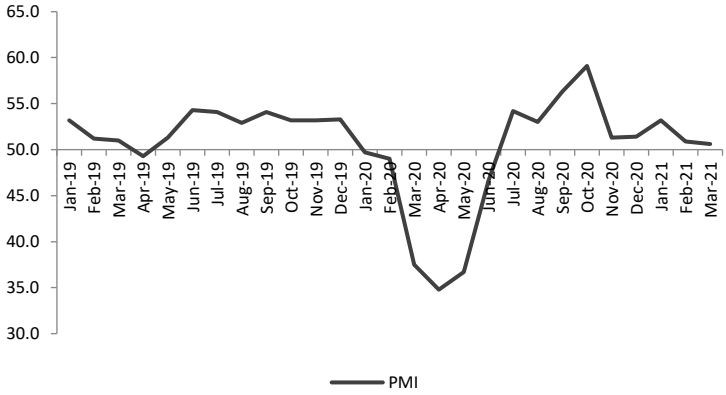
Graph 2: Value of Buildings



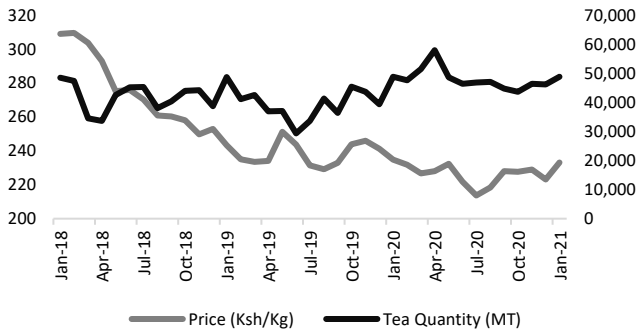
Graph 3: Cement



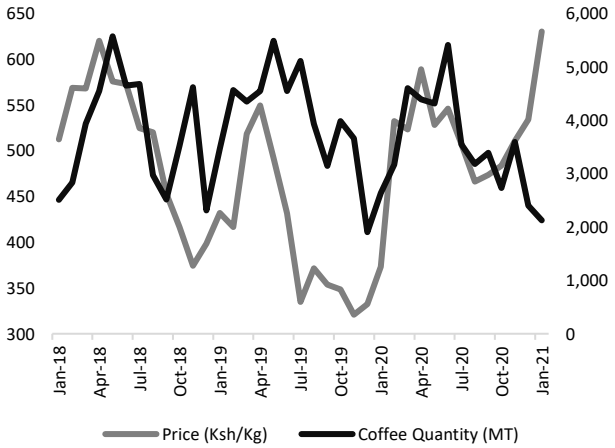
Graph 4: PMI



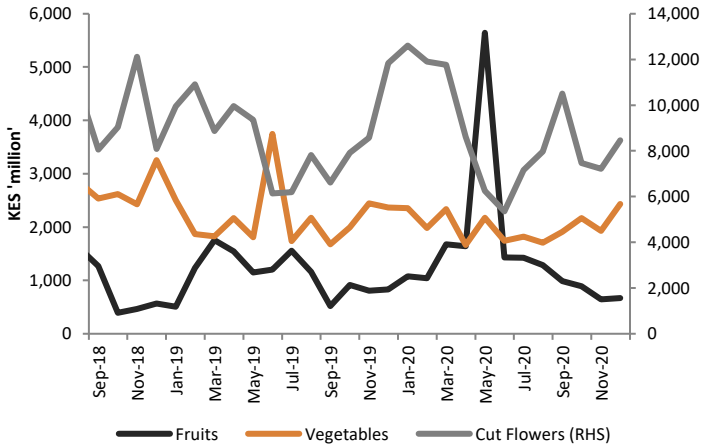
Graph 5: Tea



Graph 6: Coffee



Graph 7: Horticulture



Source: KNBS, AIB-AXYS Africa research

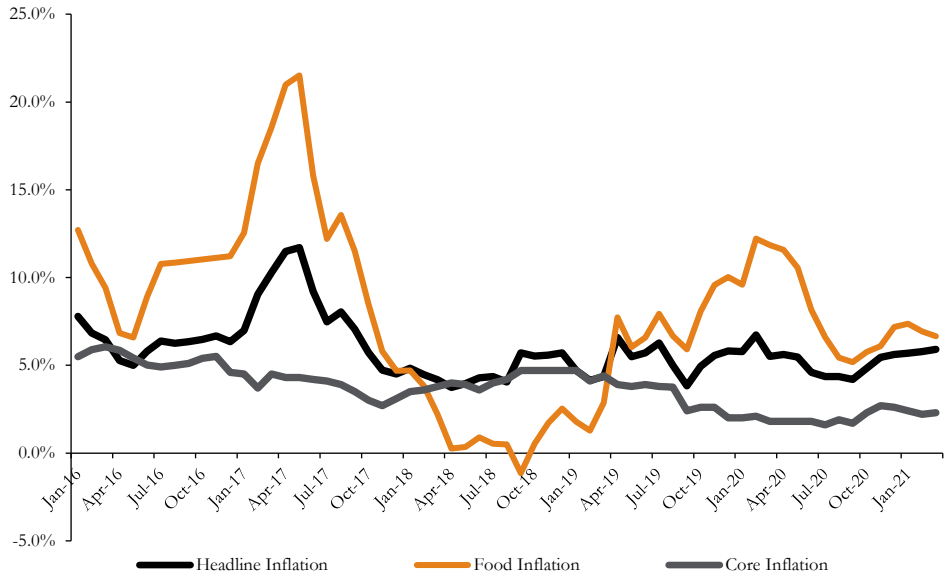
➢**Economic growth is likely to decline in 2Q21:** Economic growth in 2Q21 is likely to be negatively affected by the latest lockdown measures which were imposed by the Kenyan Government on the 26th of March to combat a surge in coronavirus infections. In this round of containment measures, the government has restricted inland travel, banned social gatherings, and extended curfew hours. Although the government hasn't announced any fiscal or monetary measures to help cushion Kenyans, the overall impact of the current lockdown is likely to be less as many businesses have already adapted to remote working.

➢**Economic growth outlook:** In 2021, economic growth is expected to accelerate. The World Bank and IMF growth estimates stand at 6.9% and 7.6% respectively. We, however, believe that these estimates are too optimistic. Delayed vaccine distribution, new lockdowns, and unsupportive fiscal policy dampen the country's growth prospects. In our view, economic growth is likely to come in at 4%.

Inflation

- **Subdued inflationary pressures:** In 1Q21, inflation gradually increased from 5.62% at the end of 2020 to 5.90% in March. The rise in inflation was mainly driven by higher fuel prices as the retail price of super and diesel in Nairobi increased from KES 106.82 and KES 91.82 in January to KES 122.81 and KES 107.66 at the end of the quarter respectively. Meanwhile, core inflation declined from 2.6% to 2.3% as consumer demand declined.

Graph 8: Inflation



- **Prices to increase in 2021:** In 2021, headline inflation is likely to edge higher driven by an uptick in local food prices, increased global commodity prices, the depreciation of the Kenyan shilling, and the relatively higher tax rates that had been lowered in 2020 as government sought to cushion Kenyans during the pandemic. Meanwhile, core inflation is likely to register a marginal increase but remain below 4%.

  The Kenya Meteorological Department had previously forecasted that the country would experience a La Nina which was expected to lead to drier than average conditions for the Long Rains season of March-May 2021. Their forecast seems to have changed in favour of a milder weather outlook. However, it would seem that the country might not receive sufficient rainfall during the long rains season as depressed rainfall was recorded in March during the onset of the long rains season and so far sufficient rainfall hasn't been received in April, which is supposed to be the peak of the season.

  In 2Q20, we expect inflation to increase above CBK's upper target of 7.5% driven by higher food and fuel prices.

Currency

➢ **Shilling depreciates against major currencies:** In 1Q21, the Kenyan shilling marginally depreciated the USD.

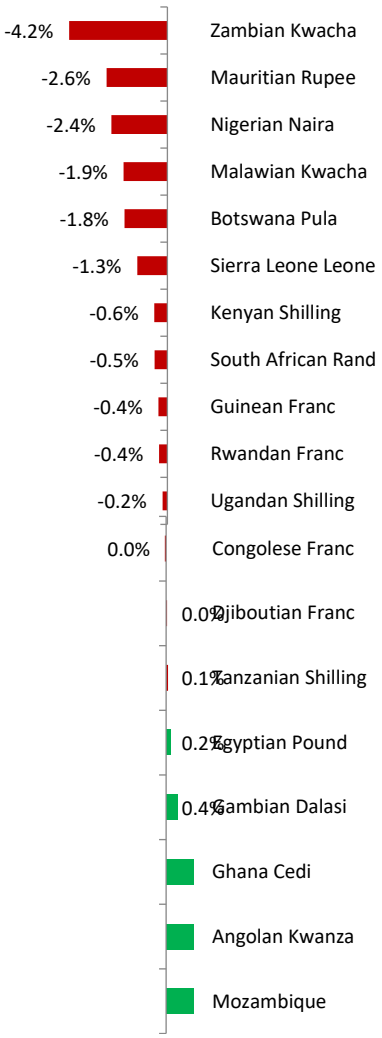
Table 1: Major currencies

	USD/KES	EUR/KES	GBP/KES	JPY(100)/KES	YUAN/KES	RUPEE/KES	KES/UGX	KES/TZS	RAND/KES
Performance	-0.3%	3.8%	-1.5%	6.8%	0.4%	0.1%	0.3%	-0.3%	-2.0%

Source: CBK,AIB-AXYS Africa research

The shilling's relatively low depreciation against the USD may partly be attributed to CBK's regular intervention in the currency market as it sought to maintain the shilling's relative stability against the USD. CBK's usable forex reserves reduced from USD 7.8 billion at the beginning of the year to USD 7.3 billion at the end of March representing a decrease to 4.51 months of import cover from 4.76 months of import cover..

Graph 9: African currencies



Source: Bloomberg, AIB-AXYS Africa analyst estimates

Fiscal Policy

- **Revenue collections fall below target:** In the first half of FY2020/21, government revenues were 9% below target and 15% lower than the previous year's collections. This was mainly due to underperformance in the VAT and PAYE segments. The decline in year-on-year revenue collection may be attributed to the measures the government took in March 2020 to cushion Kenyans against the adverse impact of the pandemic. These measures included:
  - lowering of the Value Added Tax (VAT) rate from 16% to 14%;
  - reduction of tax rates for both corporate and personal income (PAYE) from 30% to 25%,
  - provision of a 100% tax relief for persons earning a gross monthly income of up to KES 24,000
  - reduction of turnover tax rate from 3.0% to 1.0%.

The government had anticipated that PAYE and VAT collections would be lower thus they revised their collection targets downwards. The fact that actual PAYE collections were 9% lower than the target is an indication there were more job losses than the government had anticipated. Consumer purchases also reduced more anticipated as VAT collections were below target.

Table 2: Government Revenue

	2019/2020	2020/2021		Deviation	YoY
	Actual	Actual	Target	Ksh	Growth
Total Revenue	**930,374**	**810,552**	**907,660**	**-10.7%**	**-12.9%**
Ordinary Revenue	**857,862**	**726,415**	**802,231**	**-9.5%**	**-15.3%**
Import Duty	51,551	51,799	54,403	-4.8%	0.5%
Excise Duty	103,377	102,779	117,379	-12.4%	-0.6%
PAYE	205,266	152,617	181,524	-15.9%	-25.6%
Other Income Tax	162,163	156,622	155,724	0.6%	-3.4%
VAT Local	119,887	85,867	124,930	-31.3%	-28.4%
VAT Imports	91,657	93,206	109,949	-15.2%	1.7%
Investment Revenue	38,530	32,173	14,172	127.0%	-16.5%
Traffic Revenue	1,957	2,328	2,047	13.7%	19.0%
Taxes on Intl. Trade & Trans(IDF Fee)	13,730	18,264	14,124	29.3%	33.0%
Others	69,744	30,760	27,979	9.9%	-55.9%
Appropriation in Aid	**72,512**	**84,137**	**105,429**	**-20.2%**	**16.0%**
o/w Railway Development Levy	11,634	13,406	13,715	-2.3%	15.2%
External Grants	**10,147**	**8,500**	**27,275**	**-68.8%**	**-16.2%**
Total Revenue and External Grants	**940,522**	**819,052**	**934,935**	**-12.4%**	**-12.9%**
Total Revenue and External Grants as a percentage of GDP	**9.06**	**7.33**	**8.30**		

Source: Treasury, AIB-AXYS Africa research

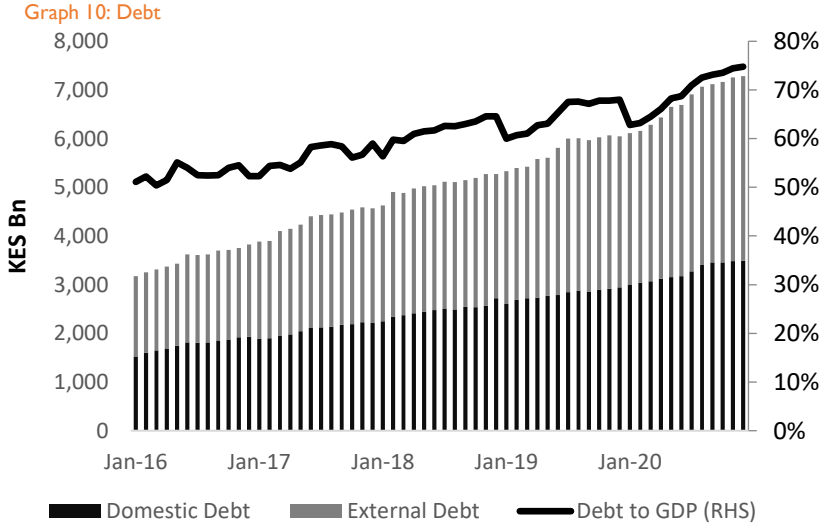
➢ **Recurrent expenditure remains elevated:** During the period under review, total expenditure was marginally lower than H1 FY2019/20. This may be attributed to the government's inability to reduce recurrent expenditure. Salaries and wages remained the largest portion of expenditure, while domestic interest rates increased in line with the increase in government borrowing.

Table 3: Government Expenditure

	2019/2020 Actual	2020/2021		Deviation Ksh	YoY Growth
		Actual	Targets		
Recurrent	**817,846**	**818,241**	**830,224**	-1.4%	0.0%
Domestic Interest	147,164	186,746	158,392	17.9%	26.9%
Foreign interest	61,512	61,064	77,641	-21.4%	-0.7%
Pensions & Other CFS	50,197	53,821	62,015	-13.2%	7.2%
Wages and Salaries	225,709	238,207	248,167	-4.0%	5.5%
Operation and Maintenance	333,263.88	278,403	284,009	-2.0%	-16.5%
O/W: Appropriation-in-Aid	46,051	40,864	66,046	-38.1%	-11.3%
Development	**271,477**	**262,778**	**269,639**	**-2.5%**	**-3.2%**
Development Projects(Net)	137,775	160,271	124,428	28.8%	16.3%
Payment of Guaranteed Loans	330	-	-		
Appropriation-in-Aid	133,372	102,506	142,446	-28.0%	-23.1%
County Governments	122,209	128,691	143,881	-10.6%	5.3%
Parliamentary Service	6,934	3,504	8,810	-60.2%	-49.5%
Judicial Service	2,967	1,630	3,825	-57.4%	-45.1%
Equalization Fund	-	-	2,765		
CF	-	-	2,500		
TOTAL EXPENDITURE	**1,221,433**	**1,214,844**	**1,258,879**	**-3.5%**	**-0.5%**

➢ **Budget deficit increases:** The budget deficit increased to KES 351.2 billion (3.6% of GDP) from KES 287.7 billion (2.8% of GDP) during the previous year. The government's debt also increased to stand at KES 7.3 trillion at the end of 2020.

Graph 10: Debt

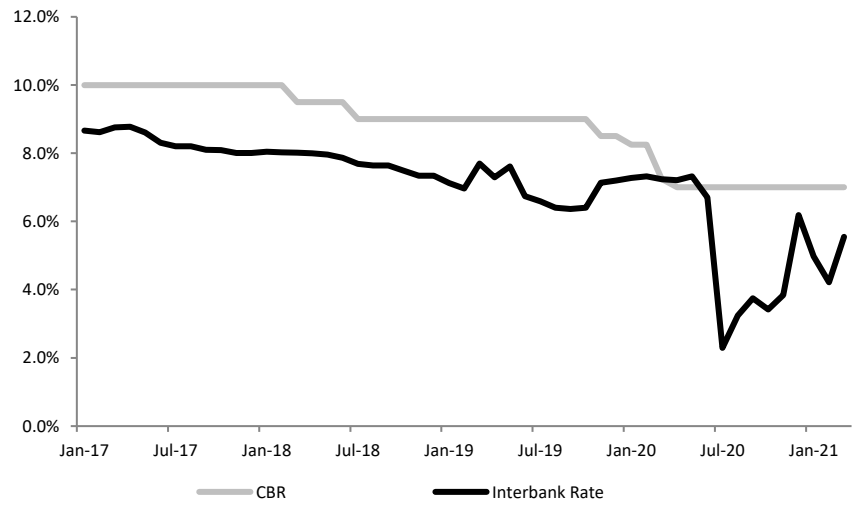


Source: Treasury, AIB-AXYS Africa research

Monetary Policy

- **Accommodative monetary policy:** During the quarter, CBK maintained the Central Bank Rate (CBR) at 7.0%. The cash reserve ratio which was reduced by 100bps last year was also maintained at 4.3%.

Graph 11: Central Bank Rate

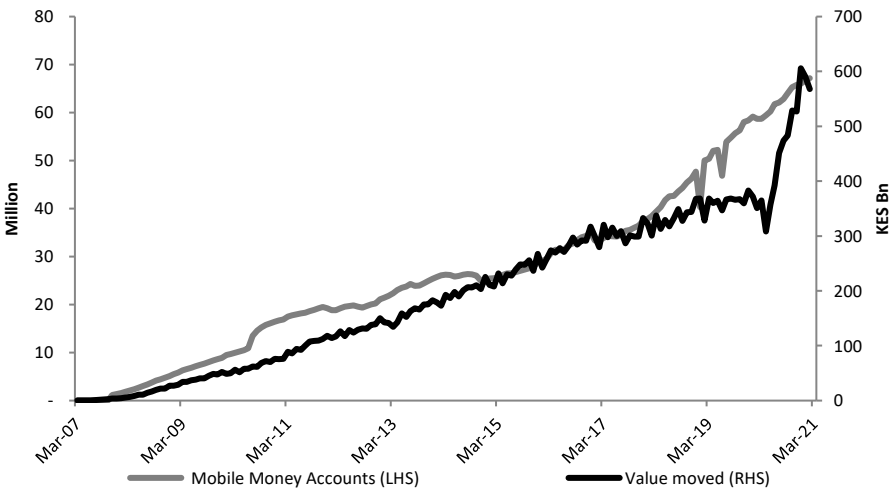


Source: CBK, AIB-AXYS Africa research

- **Increased use of mobile money:** During the pandemic, CBK zero-rated mobile transactions below KES 1,000 as it sought to encourage cashless transactions. This led to a surge in mobile money transactions (from KES 350 billion in February to KES 605 billion in December). The removal of charges encouraged Kenyans to use the mobile money platforms.

  A slight dip was recorded in January after transactional charges were re-introduced but we expect volumes to remain above pre-COVID levels. This change in consumer behaviour (move away from cash transactions) is likely to enable CBK to better monitor the velocity of money within the economy.

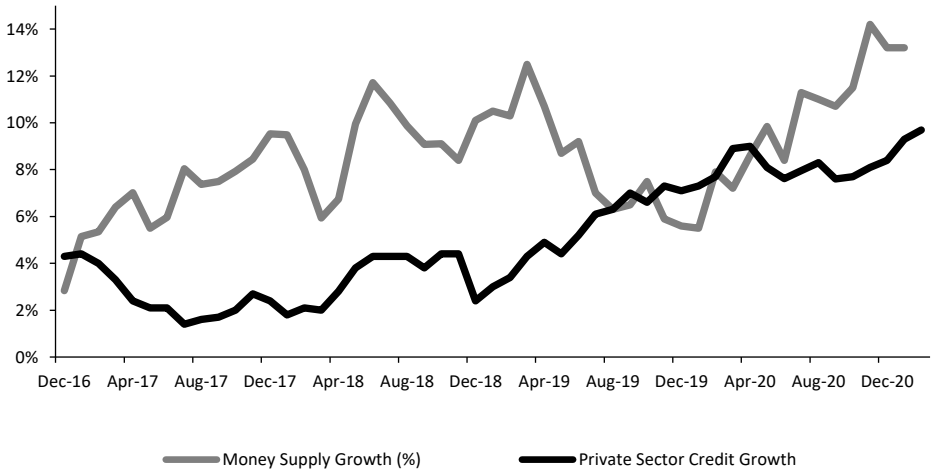
Graph 12: Mobile Money



Source: CBK, AIB-AXYS Africa research

- **Increased private sector credit growth:** CBK's accommodative monetary policy stance encouraged banks to continue lending to the private sector.

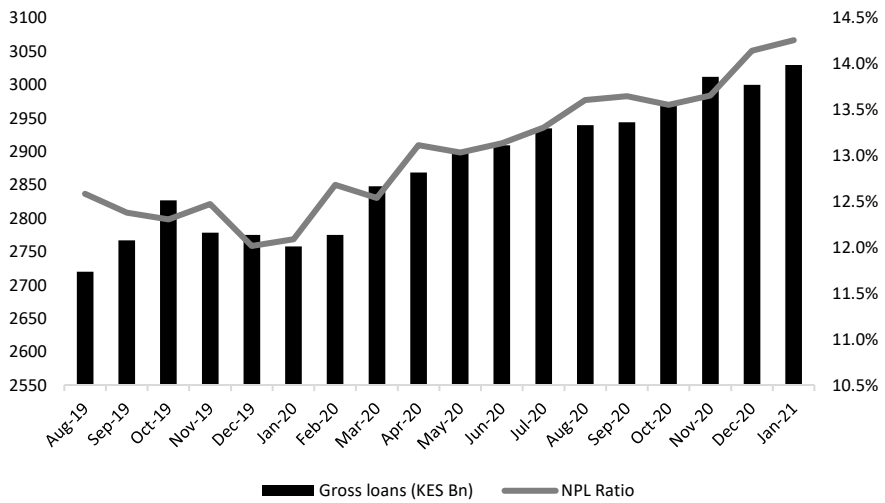
Graph 13: Gross Loans and NPL's



Source: CBK, AIB-AXYS Africa research

- **NPL ratios remain elevated:** A key concern in the current environment remains the rising NPLs in the banking system. In March 2020, the Central Bank announced emergency measures to provide relief to borrowers through restructuring of loans. Over the last year, loans amounting to KES 1.7 trillion (57% of total gross loans) were restructured. We expect the NPL ratio to remain elevated as businesses struggle to survive. The outstanding restructured loans as at the end of February amounted to KES 569.3 billion (19% of the total gross loans).

Graph 14: Gross Loans and NPL's

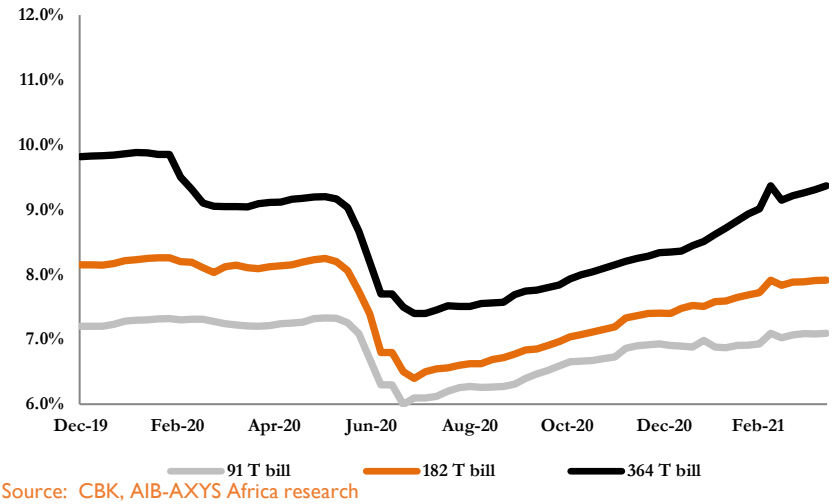


- **CBK to maintain the CBR at 7.0%:** As CBK's monetary policy decisions seek to maintain price stability and support economic activity, we expect the Bank to maintain its accommodative monetary policy stance.

Interest Rates Outlook

- **Gradual increase in short-term interest rate:** As the government's appetite for debt remains elevated and the sustainability of government debt remains a source of concern, short term rates are likely to gradually increase. The performance in individual auctions, however, will continue to be determined by the prevailing liquidity at the time of the auction.

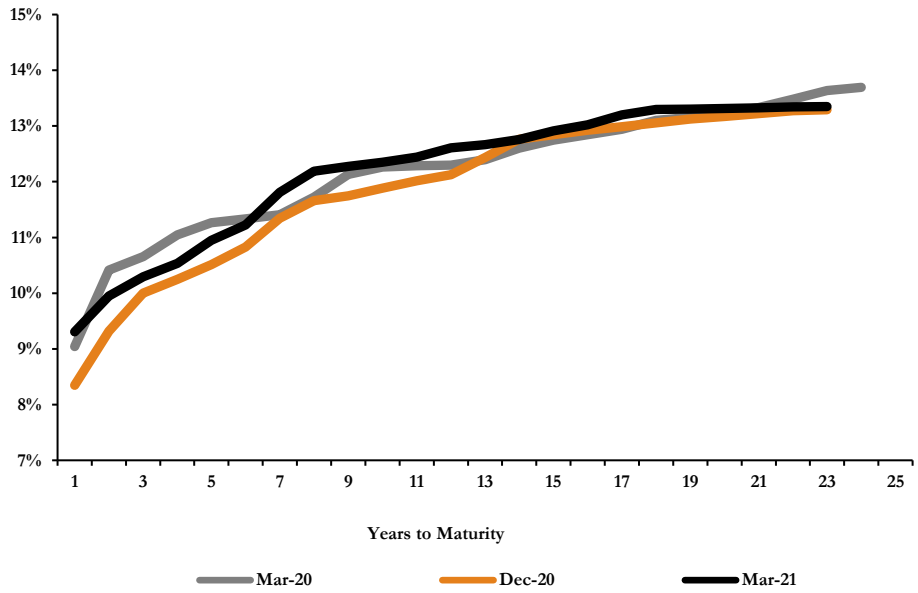
Graph 15: T-Bill rates



Source: CBK, AIB-AXYS Africa research

- **Yield curve expected to steepen:** In 1Q21, the yield curve flattened as short term rates increased while the long end of the yield curve remained relatively unchanged. The increase in short-term rates occurred as CBK accepted aggressive bids as its sought to meet the domestic borrowing target. In 2Q21, we expect the long end of the yield curve to increase while the short end is likely to remain relatively unchanged with an upward bias.

Graph 16: Yield curve

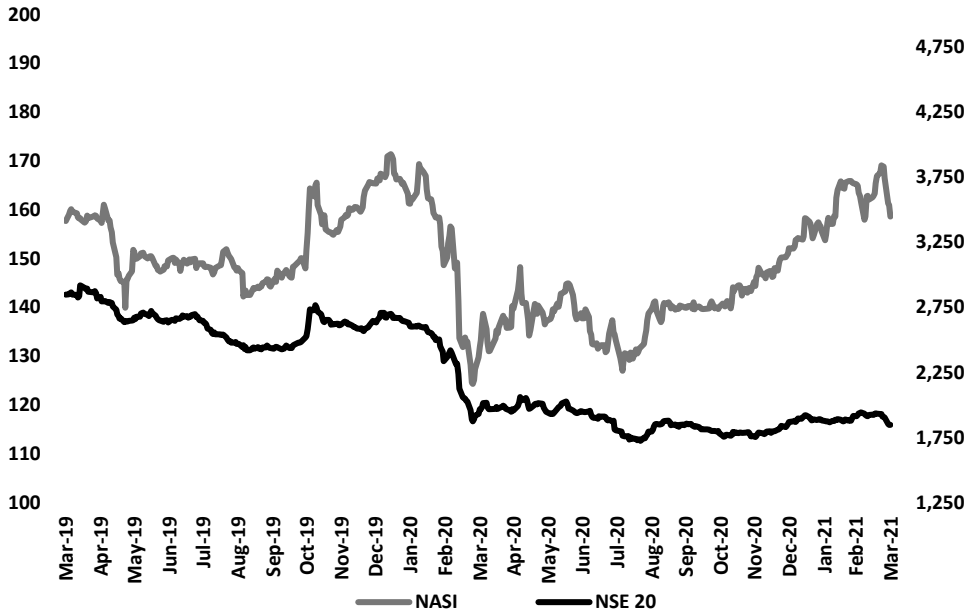


Source: NSE, AIB-AXYS Africa research

Equity Market

➢ Negative returns: In 1Q21, the NSE 20 lost 1.2% while the NASI gained 4.3% to close the quarter at 1,846.41 and 158.62 respectively. The gain on the NASI was supported by increased investor interest on Safaricom. The Telco touched a high of 39.95 due to its increased weighting on the MSCI frontier markets index and the payment of a special dividend.

Graph 17: NSE Indices



Source: NSE, AIB-AXYS Africa research

➢ 2Q21 Outlook: In 2Q21, we expect increased investor focus on Safaricom and Banking stocks. Safaricom will release its FY21 numbers and this should lead to an increase in local and foreign investor interest while activity in Banking stocks is likely to be driven by their 1Q21 numbers.

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